

Q1 2025

Custom Managed Portfolios

Sionna Canadian Equity

Quick facts

Asset class:
Canadian Large Cap

Management style:
Value¹

Number of holdings:
32

Sub-advisor:
Sionna Investor Managers

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
January 01, 2005



What does the strategy invest in?

This strategy will invest in 30–45 larger Canadian companies that Sionna believes are fundamentally strong and undervalued with the goal of preserving capital in falling markets and delivering growth in rising markets..

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	3.3%	3.3%	15.1%	9.1%	18.2%	8.8%	8.6%
Benchmark ⁵	1.5%	1.5%	15.8%	7.8%	16.8%	8.6%	8.1%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	17.1%	10.8%	7.4%	22.2%	-0.1%	18.6%	-9.9%
Benchmark ⁵	21.6%	12.0%	-5.9%	25.1%	5.6%	22.9%	-8.9%

Standard deviation	8.6%	Sortino ratio	0.95	Downside capture	85.8%
Sharpe ratio	0.81	Beta (Equity)	0.88	Upside capture	93.5%

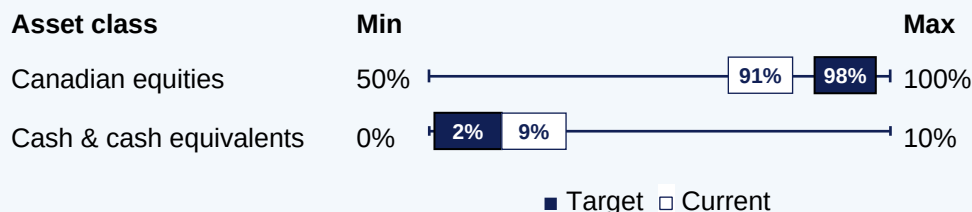
Largest holdings

1. ROYAL BANK OF CDA	7.4%	6. FAIRFAX FNCL HLDGS LTD	4.8%
2. SUNCOR ENERGY INC NEW	6.3%	7. ARC RESOURCES LTD	3.9%
3. AGNICO EAGLE MINES LTD	5.7%	8. NUTRIEN LTD	3.4%
4. BK OF NOVA SCOTIA	5.5%	9. CDN TIRE LTD CL A	3.3%
5. TORONTO DOMINION BK	5.1%	10. QUEBECOR INC CL B	2.8%

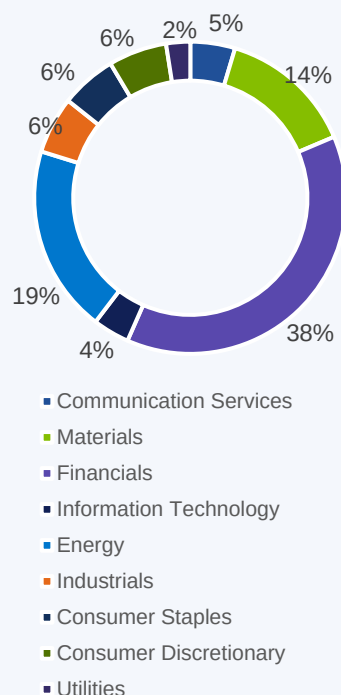
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
3.2%	21.09	10.33	2.72	2.63	61.19B	54.3%

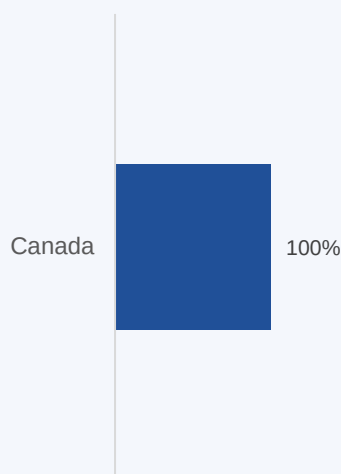
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

Sectors that Moved the S&P/TSX Composite Index this Quarter

The materials sector led the Index's performance this quarter due to the strength of gold equities driven by the metal's ~16% advance. Investors and central banks continue to increase their holdings of this safe-haven asset amidst the significant step up in geopolitical uncertainty, fears of renewed inflation and heightened volatility elsewhere in global financial markets.

Energy was a bright spot in the quarter despite broader concerns around the economy and tariffs. The strength was on the back of strong natural gas prices, the anticipation of additional LNG facilities coming online this year, strong operating and financial performance out of the majors, and the merger of Whitecap Resources and Veren.

Technology was the primary detractor from the Index's performance. The weakness was fairly broad-based across the sector and was a result of a repositioning of portfolios away from growth equities into more value-oriented equities. Technology valuations remain stretched, which leads to greater volatility in times of uncertainty. While Canada's technology sector has been weak, our southern neighbour's tech sector came under significant pressure following the release of the DeepSeek whitepaper by a Chinese AI start-up, which called into question the sustainability of the U.S.' AI technology leadership.

Factors Contributing to the Model's Performance

Our position in Agnico Eagle Mines, a gold producer with operations in Canada, Australia, Finland and Mexico, contributed to performance. The price of gold increased during the quarter, which positively impacted Agnico's stock price. With mines located in stable jurisdictions with rule of law, we believe Agnico's assets will command a widening premium valuation over its peers in the years ahead. Agnico's development-rich opportunities require management to remain focused on the pace of its capital expenditures and rank top projects for returns to unlock this value for shareholders. Our lack of exposure to Shopify contributed to performance as the technology sector overall was weak. We continue to believe the business remains overvalued and that there are more attractive opportunities elsewhere in the current portfolio and market. Our position in Verun, a leading Canadian energy producer focusing primarily on light oil and condensate production in central Alberta and southern Saskatchewan, contributed to performance. The stock price increased this quarter as Whitecap Resources proposed a takeover offer substantially above Veren's trading price. The company continues to trade well below our estimate of its intrinsic value and will continue to evaluate the merged entity over the coming weeks.

Methanex detracted from performance this quarter, following an unexpected closure of its Geismar 3 plant and as macroeconomics headwinds continued to accelerate. Sionna has been a long-term holder of Methanex, trimming the position during periods of strength and adding during periods of weakness. We continue to believe the business is operationally sound, and the stock is attractively valued as capital expenditures subside to mainly maintenance capital. As Methanex's Geismar 3 project ramps up volumes this year, we expect debt reduction and capital returns to become the priority. Bank of Nova Scotia (BNS) was a detractor to performance as uncertainty surrounding the future of interest rates, inflation and the ongoing trade negotiations between Canada and the United States has weighed on the stock. We continue to believe the bank has a strong risk culture, an attractive dividend yield of over 6% and at this valuation

offers a generous expected return in the long run. Magna International (Magna), the fifth-largest global auto parts supplier and is headquartered in Canada, negatively impacted performance. Magna saw its stock price decline this quarter, as a result of uncertainty caused by U.S. President Donald Trump's tariff threats.

Since the quarter ended, Trump imposed a 25% tariff on all imported passenger vehicles. While key components that are USMCA compliant are currently excluded from tariffs, a process is underway to determine applicable tariffs to their non-U.S. content for May 3rd. The impact of these tariffs is wide and North American supply chains, which were already well optimized, will be slow and costly to adjust. Cars are older than they have ever been and eventually will need replacing. It is likely the consumer that will bear much of these new costs. We continue to believe Magna has a strong balance sheet and a seasoned management team focused on the long-term profitability of the business. Magna's management team continues to be focused on ensuring its operations are efficient and are controlling what they can.

Investment manager overview

Sionna Investment Managers use a value approach to manage assets on behalf of institutions (including foundations, endowments and pensions) and private clients. Their team builds quality portfolios from the bottom up to manage risk and help our clients achieve their goals. While they are methodical in their analysis, there is nothing dogmatic about Sionna’s investment approach. They believe that value investing is a craft. It takes discipline and patience. It is the foundation on which Sionna has grown.

Investment philosophy

Sionna practices classic Graham and Dodd value investing with a relative value overlay. They believe stocks are mispriced because of human behaviour – not the true condition of the company and actively seek underappreciated or overlooked companies that trade for significantly less than their true value. They also strive to build and protect capital by:

- Building a portfolio of mispriced companies and waiting for them to appreciate to their intrinsic value
- Investing in dividend-paying companies, so we can earn additional returns while we wait for that to happen
- Investing in earnings machines

To be successful over the long term, this process requires inquisitive minds, good judgment, and a passion for investing.

Investment process and risk controls

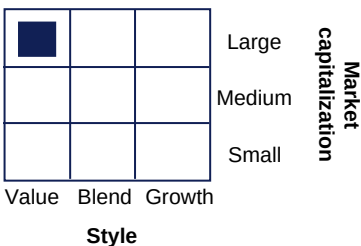
Value: A Bottom-up Approach to Investing

Sionna assesses the value and quality of individual companies from the bottom up. They:

- Opportunistically invest in good businesses when they are temporarily undervalued
- Identify candidates through comprehensive fundamental analysis by:
 - Getting behind the numbers
 - Understanding business fundamentals
 - Assessing management quality

Sionna specializes in a relative value method. History informs this process: they believe stock prices revert back to their mean (intrinsic value) over time. When determining the value of an individual company and whether a stock is undervalued, they consider where it has traded historically relative to the overall market and other names in the **sector**.

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada’s largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada’s largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada’s credit unions and Desjardins



¹ Value investing is an investment strategy that involves picking stocks that appear to be trading for less than their intrinsic or book value

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

The information contained in this report was obtained from sources believed to be reliable; however, we cannot guarantee that it is accurate or complete. The Custom Managed Account is distributed by Aviso Wealth Inc. Mutual funds and other securities are offered through Aviso Wealth Inc. Referral fees, commissions, management fees, and expenses all may be associated with managed accounts or the investments therein. Please read the prospectus before investing. Managed accounts, and the investments therein, are not insured nor guaranteed, their values change frequently and past performance may not be repeated.

⁵ The benchmark is S&P/TSX Composite TR Index

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

2100551E 10/21